

Retail Research	IPO Note
Sector: ITES	Price Band (Rs): 233 - 245
28 th June 2025	Recommendation: SUBSCRIBE

Crizac Ltd.

Company Overview:

Crizac Ltd., is a B2B education platform for agents and global institutions of higher education. It offers international student recruitment solutions to global institutions of higher education. Crizac was founded in 2011 and is based out of Kolkata, West Bengal, with co-primary operations in London, United Kingdom. The company mainly serves institutions in the United Kingdom, Canada, Republic of Ireland, Australia and New Zealand (ANZ) with student recruitment solutions from India into the United Kingdom being the core strength of the company. It operates a proprietary technology platform that offers real-time access to global higher education institutions related updates such as admission requirements and deadlines. The company has partnered with prestigious global institutions which includes University of Birmingham, University of Greenwich, University of West London, etc. Crizac sources applications for enrolment into global institutions of higher education from over 75 countries through its comprehensive agent network across the world. As of Mar'25, the company had 10,362 agents registered on the company's proprietary technology platform.

Key Highlights:

1. Entrenched relationship with global network of institutions: Over the years, the company has built strong relationship with renowned global institutions of higher education across the world. Since FY23, Crizac has worked with over 173 global institutions in the UK, Canada, Republic of Ireland, Australia and New Zealand. Company's experience and ability to adapt approach with institutions across different demography and recruitment preferences has been a key driving factor in its growth. Furthermore, the company provides services such as marketing, brand management and admission office management to select global institutions of higher education. This creates an awareness about the global institutions among the agents. Thus, ensuring a long-term working relationship with the global institutions.

2. Comprehensive agent network: Crizac has a widespread network of agents spread across the globe. As of Mar'25, the company had 10,362 registered agents from 75 countries registered on its proprietary technology platform. During FY25, the company had 3,948 active agents in over 39 countries including the UK, Nigeria, Nepal, Sri Lanka, Vietnam, Egypt and Kenya. Company's widespread agent network help source a large pool of students from diverse backgrounds, seeking admission across diverse disciplines in international global institutions of higher education.

3. Scalable tech platform: Being a tech platform for agents and global institutions, the company has a strong focus on its proprietary tech platform. Crizac's proprietary tech platform help facilitates streamlined communication between registered agents and institutions globally. The in-house team evaluates the applications based on the preference of global higher education institutions and process only eligible applications. The platform helps analyse the veracity of applications and also ranks agents based on quality, completeness and conversion percentage of applications.

Valuation: The company has strong presence in international higher education consultancy. Over the years, the company has diversified its sourcing by foraying into different geographies. Strong relationship with renowned global institutions of higher education augurs well for Crizac. Company's plans to expand into the US market and enter into B2C ancillary services will aid in revenue growth and margin. The company in the past 2 years has registered Revenue/EBITDA/PAT CAGR of 76%/43%/18% to Rs 849 cr/Rs 213 cr/153 cr, respectively. At the upper price band of Rs 245, the issue is valued at a P/E multiple of 28x of its FY25 earning on post issue capital. While comparing the issue with its close peer, the IPO is fairly priced. We recommend investors to **SUBSCRIBE** the issue at cut-off price.

Issue Details	
Date of Opening	2 nd July 2025
Date of Closing	4 th July 2025
Price Band (Rs)	233 - 245
Offer for Sale (Rs cr)	860
Issue Size (Rs cr)	860
Issue Size (No. of shares)	3,69,09,871 - 3,51,02,041
Face Value (Rs)	2
Post Issue Market Cap (Rs cr)	4,077 - 4,287
BRLMs	Equirus Capital, Anand Rathi Advisors
Registrar	MUFG Intime India Pvt Ltd.
Bid Lot	61 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	17,49,82,500	100
Public & Others	-	-
Total	17,49,82,500	100

Post Issue @ Lower Price Band	No. of Shares	%
Promoter & Promoter Group	13,80,72,629	78.9
Public & Others	3,69,09,871	21.1
Total	17,49,82,500	100.0

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	13,98,80,459	79.9
Public & Others	3,51,02,041	20.1
Total	17,49,82,500	100.0

Source: RHP, SSL Research

Key Financial Metrics

Particulars (Rs cr)	FY23	FY24	FY25
Revenue from Operations	274.1	530.1	849.5
EBITDA	104.8	146.5	212.8
Adj. PAT	110.1	192.8	152.9
EBITDA Margin (%)	38.2	27.6	25.1
Adj. PAT Margin (%)	40.2	36.4	18.0
ROE (%)	50.1	56.8	30.4
ROCE (%)	67.1	77.2	40.2
P/E (x)	38.9	22.2	28.0

Source: RHP, SSL Research

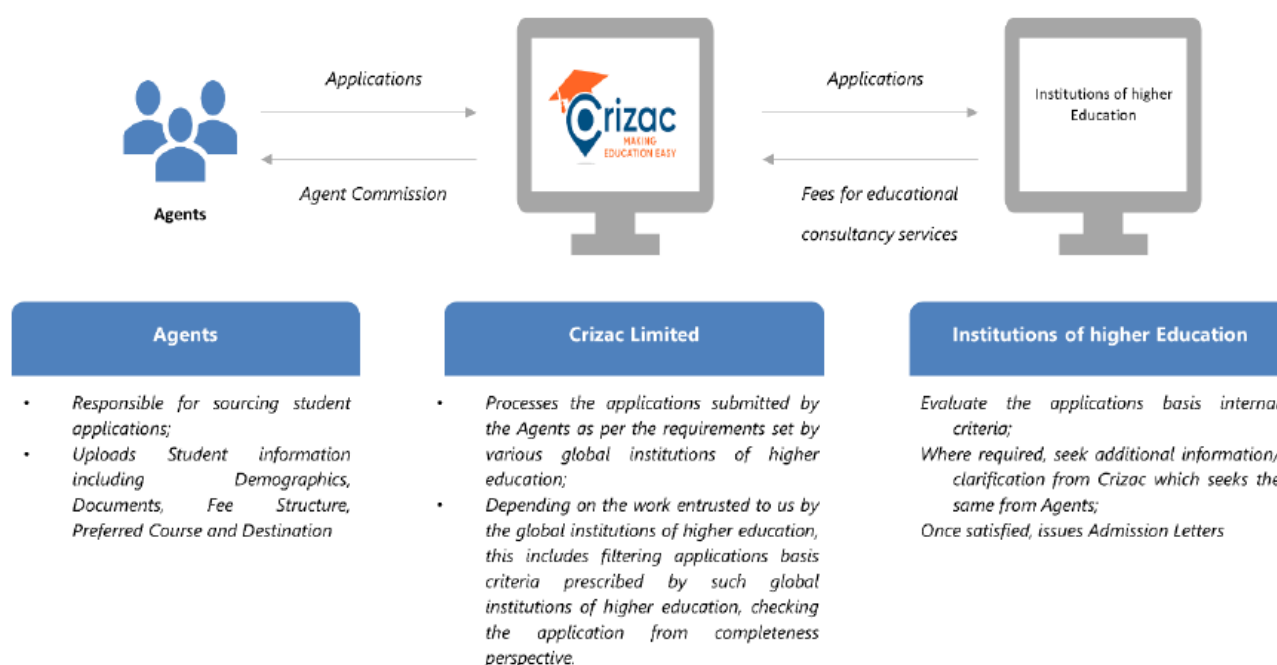
Risk Factors

- **Dependence on few global institutions:** During FY23/FY24/FY25, top 3 global institutions of higher education contributed 63%/64%/ 53% to the revenue.
- **Inability to maintain collaboration:** Inability to achieve objectives of contract with global institutions may lead to contract termination.
- **Regulatory risk:** Any change in regulations related to visa requirements or restriction on travel may affect the business.
- **Geopolitical Risk:** Adverse geopolitical developments may affect student enrollment into global institutions of higher education.
- **Cybersecurity Risk:** Being an end-to-end tech platform, any cyber-attack on the company's tech platform may lead to data leak and disruptions.

Growth Strategies

- Deepening ties with the existing network of agents globally, along with expansion of agent network in China.
- Expanding geographic footprint with particular focus on expanding presence in Ireland, Canada, and New Zealand.
- Establish presence in the United States
- Diversify into service offerings such as student loans, foreign exchange facility, visa application assistance, and accommodation.
- Enhance the brand profile including online presence through efficient marketing strategies.
- Inorganic growth to foray into B2C business model i.e., catering directly to the students without an agent in between.

Tech Platform



Source: RHP, SSL Research

Operational KPI

Particulars	FY23	FY24	FY25
No. of Students Applications Processed	1,72,939	2,62,502	2,75,897
No. of Active Agents	1,819	2,532	3,948
No. of Global Institutions Catered	111	124	173

Source: RHP, SSL Research

Applications Processed - Geography-wise

Particulars (no.)	FY23	FY24	FY25
India	1,52,539	1,92,230	1,65,541
Asia (excluding India)	9,971	42,105	85,376
Africa	9,728	27,143	22,091
Others	701	1,024	2,889
Total	1,72,939	2,62,502	2,75,897

Source: RHP, SSL Research

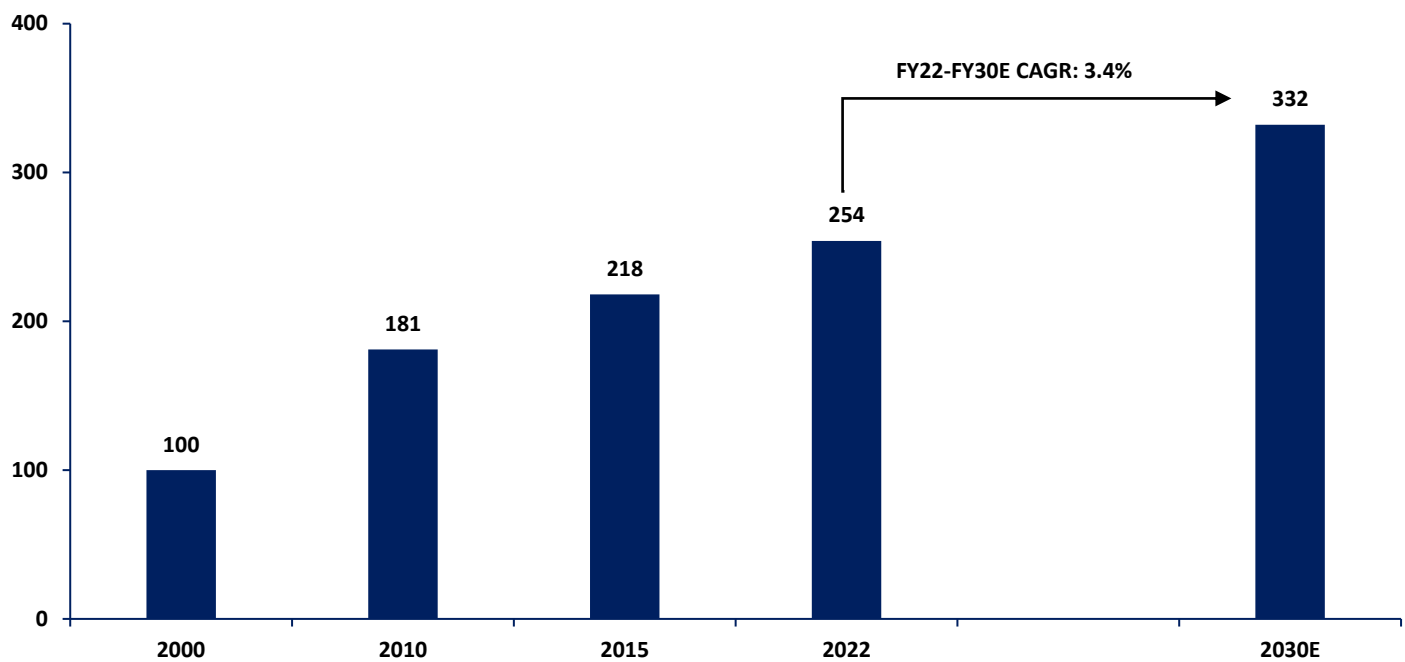
Active Agents - Geography-wise

Geography	FY25
India	2,237
Rest of the world	1,711
Total	3,948

Source: RHP, SSL Research

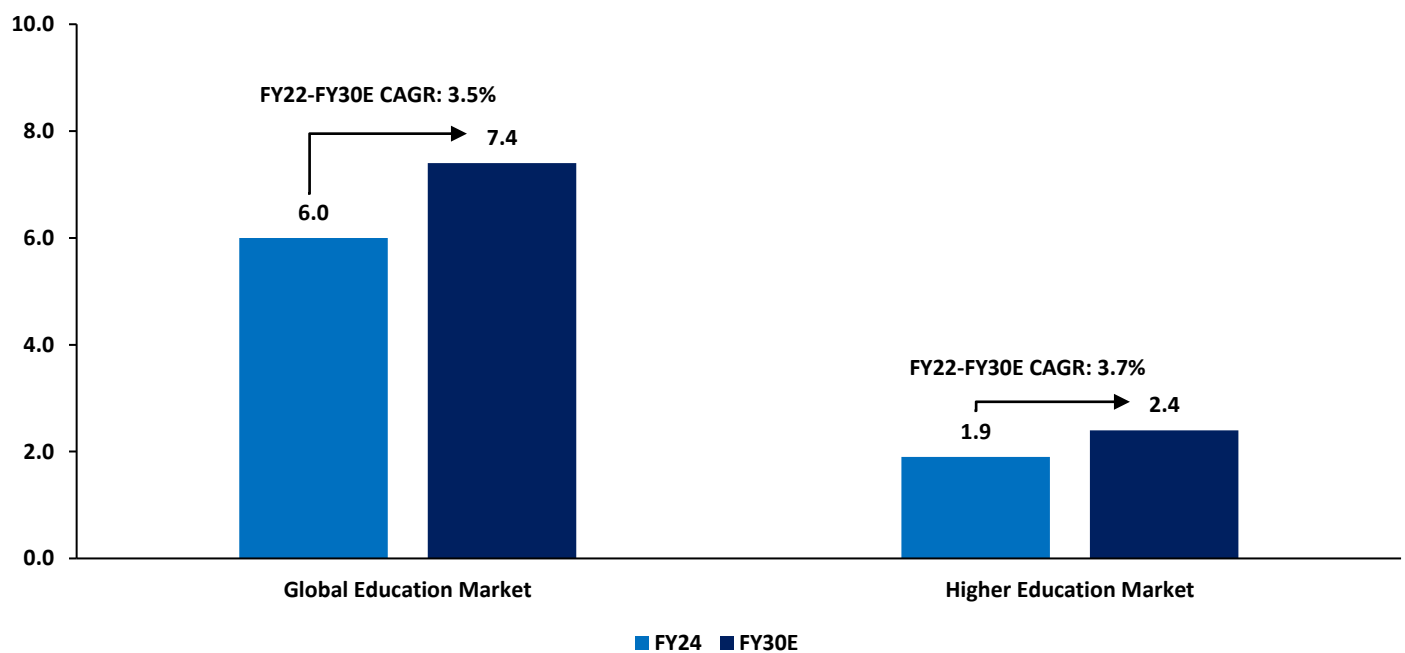
Industry Overview

Global Higher Education Enrollments (mn)



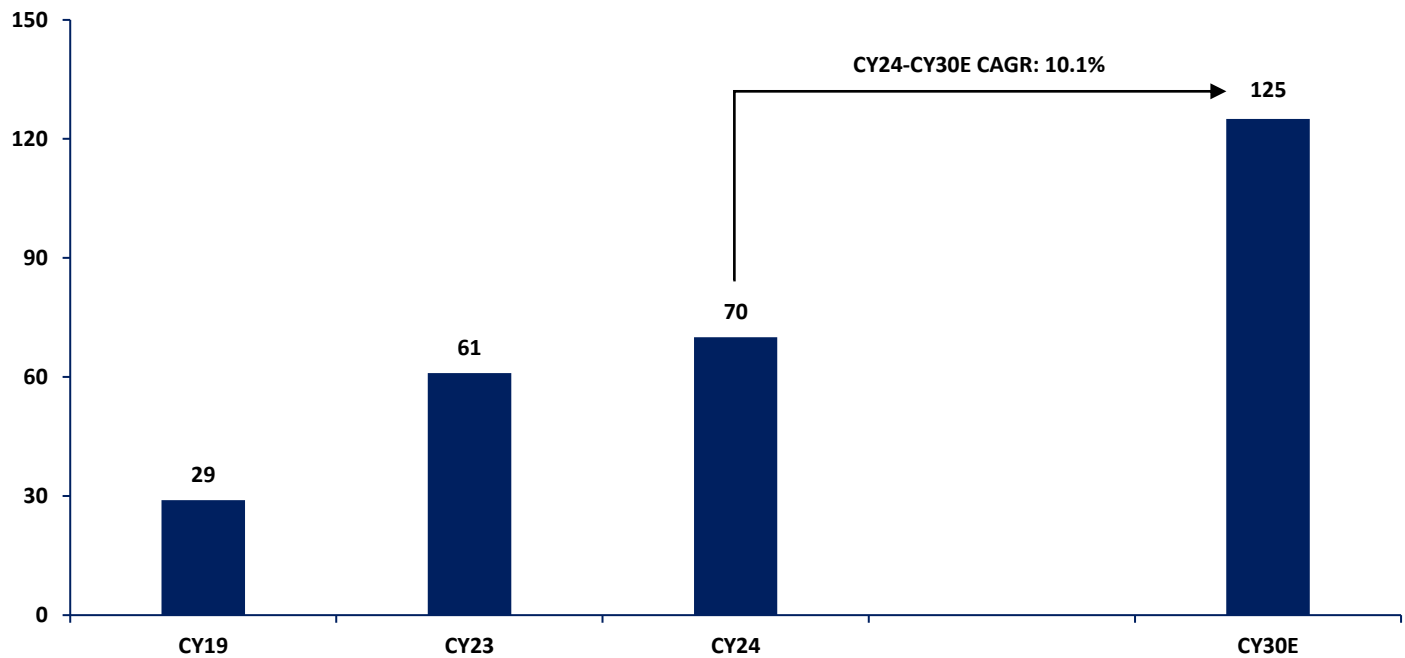
Source: RHP, SSL Research

Global Education Sector Market Size - FY24-30E (USD Tn)



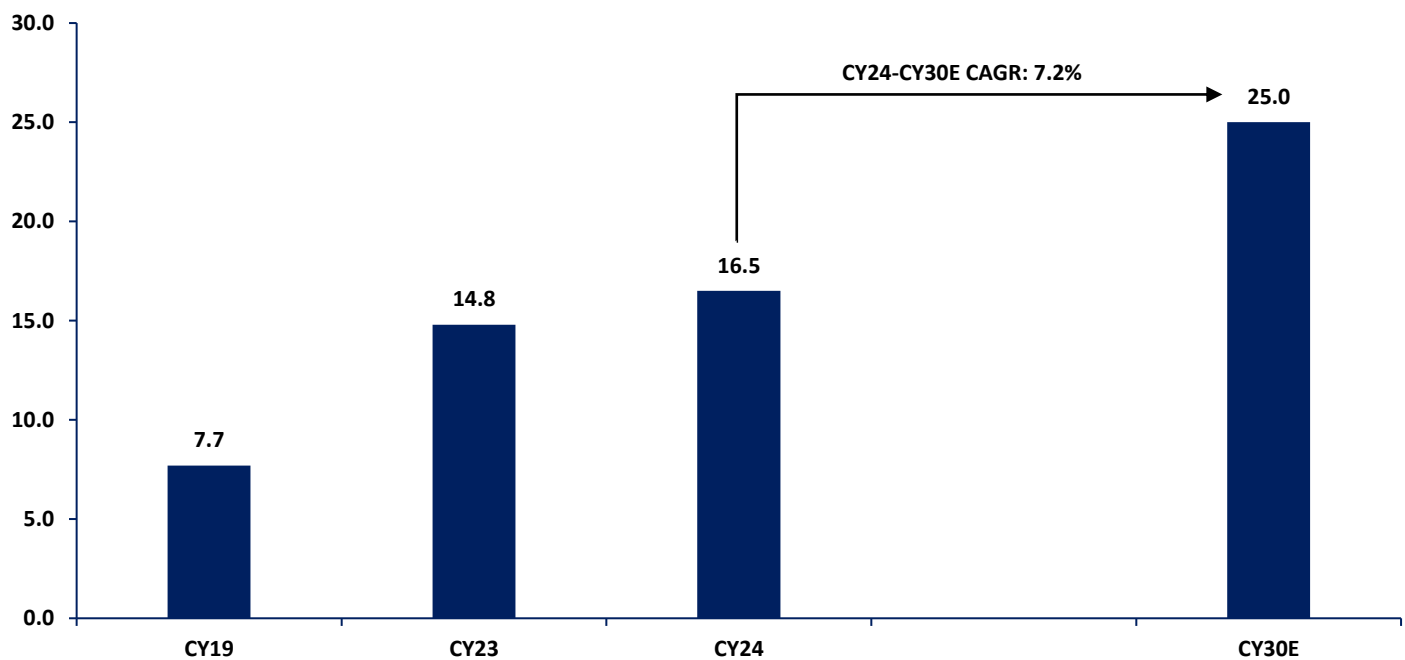
Source: RHP, SSL Research

India - Total Foreign Education Expenditure (USD bn)



Source: RHP, SSL Research

India - Total Students pursuing Higher Education abroad (in lakhs)



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
Particulars (Rs cr)	FY23	FY24	FY25
Revenue from Operations	274	530	849
YoY growth (%)	-	93.4%	60.3%
Cost of Services	114	344	599
Gross Profit	160	186	250
Gross margin (%)	58.5%	35.1%	29.5%
Employee Cost	4	7	19
Other Operating Expenses	51	33	18
EBITDA	105	147	213
EBITDA margin (%)	38.2%	27.6%	25.1%
Other Income	45	129	35
Interest Exp.	0	0	0
Depreciation	2	13	46
PBT	147	262	202
Exceptional item/Extraordinary item	0	-75	0
Tax	37	69	50
Adj. PAT	110	193	153
Adj. PAT margin (%)	40.2%	36.4%	18.0%
EPS	6.3	11.0	8.7

BALANCE SHEET			
Particulars (Rs cr)	FY23	FY24	FY25
Assets			
Net Block	6	12	11
Intangible Assets	-	94	61
Intangible Assets under development	-	-	-
Right of use assets	14	14	12
Other Non-current Assets	33	59	195
Current Assets			
Current Investment	80	115	-
Trade receivables	-	168	256
Cash and Bank Balances	67	123	311
Other Current Assets	32	7	32
Total Current Assets	179	413	599
Current Liabilities & Provisions			
Trade payables	-	130	261
Other current liabilities	1	18	107
Short-term provisions	-	75	-
Total Current Liabilities	1	224	368
Net Current Assets	178	190	231
Total Assets	231	367	510
Liabilities			
Share Capital	10	35	35
Reserves and Surplus	210	304	468
Total Shareholders' Funds	220	339	503
Total Debt	-	-	-
Other Long-Term Liabilities	-	-	-
Net Deferred Tax Liability	11	28	6
Total Liabilities	231	367	510

Cashflows (Rs cr)	FY23	FY24	FY25
Cash flow from Operating Activities	52	101	187
Cash flow from Investing Activities	(46)	(67)	(149)
Cash flow from Financing Activities	-	-	-
Free Cash Flow	50	(19)	186

RATIOS			
	FY23	FY24	FY25
Profitability (%)			
Return on Assets	47.4	32.6	17.4
Return on Capital Employed	67.1	77.2	40.2
Return on Equity	50.1	56.8	30.4
Margin Analysis (%)			
Gross Margin	58.5	35.1	29.5
EBITDA Margin	38.2	27.6	25.1
Net Profit Margin	40.2	36.4	18.0
Short-Term Liquidity			
Current Ratio (x)	154.7	1.8	1.6
Quick Ratio (x)	154.7	1.8	1.6
Avg. Days Sales Outstanding	-	116	110
Avg. Days Payables	1	138	159
Fixed asset turnover (x)	14.1	4.5	10.8
Valuation Ratios			
EV/EBITDA (x)	40.3	28.4	18.7
P/E (x)	38.9	22.2	28.0
P/B (x)	19.5	12.6	8.5
EV/Sales (x)	15.4	7.9	4.7

***Valuation ratios are based on pre-issue capital at the upper price band**

Source: RHP, SSL Research

Peer Comparison - FY25

Particulars (Rs cr)	Crizac Ltd.	Indiamart Intermesh Ltd
CMP (Rs)	245.0	2,610.0
Sales	849.5	1,388.0
EBITDA	212.8	474.0
Net Profit	152.9	528.0
Mkt Cap.	4,287.1	15,668.0
Enterprise Value	3,976.5	15,584.0
EBITDA Margin (%)	25.1	34.1
Net Margin (%)	18.0	38.0
P/E (x)	28.0	29.7
EV/EBITDA (x)	18.7	32.9
RoE (%)	30.4	24.2
RoCE (%)	40.2	20.2
EV/Sales (x)	4.7	11.2

For Crizac Ltd, the Market Cap, EV/EBITDA (x) & P/E (x) are calculated on post-issue equity share capital based on the upper price band.

Crizac Ltd does not have any listed like to like industry peers in India. We have chosen the above company as peer based on the disclosure made by company in RHP.

CMP as on 27th June, 2025.

Source: RHP, SSL Research

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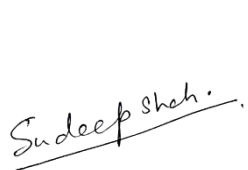
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